

Grasim Industries Ltd | GRASIM | Industrials

Grasim Industries Limited is the flagship company of the Aditya Birla group, it ranks amongst India's largest private sector companies. On standalone basis, GIL's core businesses comprise of viscose Staple fibre (VSF), caustic soda, speciality chemicals, rayon-grade wood pulp (RGWP) with plants at multiple locations. It also has certain other businesses such as fertiliser, textile

Key Performance Indicators

ROE %	ROCE %	NPM %	D/E	Rev CAGR 5yr	FCF (Cr)
11.2%	9.83%	7.58%	1.55	11.15%	-33833.0

Profit & Loss Summary (Rs. Crore)

Year	Sales	Op Profit	Net Profit	OPM%	EPS
2017-03	36068.0	7387.0	4246.0	20.0%	66.0
2018-03	55894.0	11612.0	3688.0	21.0%	39.0
2019-03	77200.0	16640.0	2745.0	22.0%	25.0
2020-03	68252.0	10373.0	6639.0	15.0%	65.0
2021-03	76404.0	18635.0	6987.0	24.0%	63.0
2022-03	95701.0	20431.0	11206.0	21.0%	111.0
2023-03	117627.0	21589.0	11078.0	18.0%	100.0
2024-03	130978.0	27195.0	9926.0	21.0%	85.0

Key Ratios Trend

Year	ROE%	ROCE%	D/E	FCF(Cr)	Rev CAGR
2019-03	4.73%	9.17%	1.46	-3871.0	22.2%
2020-03	11.72%	4.5%	1.5	5256.0	16.55%
2021-03	10.67%	10.1%	1.21	7929.0	17.24%
2022-03	14.8%	10.81%	0.99	5985.0	21.55%
2023-03	14.07%	9.37%	1.31	-26397.0	16.05%
2024-03	11.2%	9.83%	1.55	-33833.0	11.15%

Grasim Industries Ltd | GRASIM | Industrials

Balance Sheet Summary (Rs. Crore)

Year	Equity	Reserves	Borrowings	Total Assets
2019-03	132.0	57888.0	84487.0	241127.0
2020-03	132.0	56501.0	84777.0	244181.0
2021-03	132.0	65362.0	79078.0	267349.0
2022-03	132.0	75567.0	74744.0	289149.0
2023-03	132.0	78610.0	103039.0	336823.0
2024-03	133.0	88520.0	137155.0	412116.0

Cash Flow Statement (Rs. Crore)

Year	CFO	CFI	CFF	Net Cash
2022-03	7038.0	-1053.0	-6733.0	-748.0
2023-03	-12685.0	-13712.0	26469.0	72.0
2024-03	-10719.0	-23114.0	33908.0	75.0

Capital Allocation Pattern

Growth Funded by Debt

Strengths

- + Net profit compounding at above 20% over 5 years creates significant shareholder value
- + Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- + Revenue growing slower than profits shows improving operating leverage and scale benefits

Concerns

- Revenue contraction over 2 consecutive years indicates demand weakness or market share loss
- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
- Earnings per share declining for 3 consecutive years reflects deteriorating profitability
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital